

Oil prices ease, alleviating pressure on the economy

- **Key changes:** We have kept our 2026 GDP growth forecast for the Netherlands unchanged. Available Q2 data were stronger than anticipated, but we expected higher oil prices. With the announcement of peace negotiations, oil prices fell more than we incorporated in our latest release, posing an upside risk to growth and a downside risk to inflation.
- **Short-term forecast:** The US-Israel war with Iran has driven up energy prices in international markets, which will increase inflation and limit consumption. Exports have remained remarkably resilient amid higher tariffs, suggesting a healthy outlook for international trade. Trade uncertainty is making businesses reluctant to invest, weighing on non-residential private investment, and we think that this headwind will persist. We expect inflation to average 3.1% in 2026 and 2.4% in 2027.
- **What to watch out for:** Supply bottlenecks and an already high population density mean the persistent undersupply of housing will continue. The share of employees with a fixed-term contract, flexible working hours, or temporary agency work arrangements is high. Although this allows firms to adapt better to demand fluctuations, it also creates a stark duality in the labour market, with lower-paid, short-term contract hires and freelancers facing a greater risk of redundancy. This could prove problematic if the labour market loses steam.

Table 1: Netherlands forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	-0.6	1.1	1.8	1.0	1.3	2.0
Private consumption	0.7	1.0	1.6	0.4	1.2	2.5
Industrial production	-1.0	-2.2	1.0	1.2	0.9	1.4
Employment	2.0	0.6	0.4	0.3	0.6	0.7
Unemployment rate (%)	3.6	3.7	3.9	3.9	3.8	3.6
Government balance (% of GDP)	-0.4	-0.7	-1.6	-2.2	-1.9	-1.3
Gross government debt (% of GDP)	45.2	43.1	43.6	44.3	44.5	44.0
Current a/c balance (% of GDP)	9.4	9.2	7.9	9.3	9.5	9.7
Consumer prices	3.8	3.3	3.2	3.0	2.4	2.1
ECB's deposit rate (% EOP)	4.0	3.0	2.0	2.3	2.0	2.0
10yr govt. bond yield (% EOP)	2.3	2.6	3.0	3.1	3.1	3.1
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

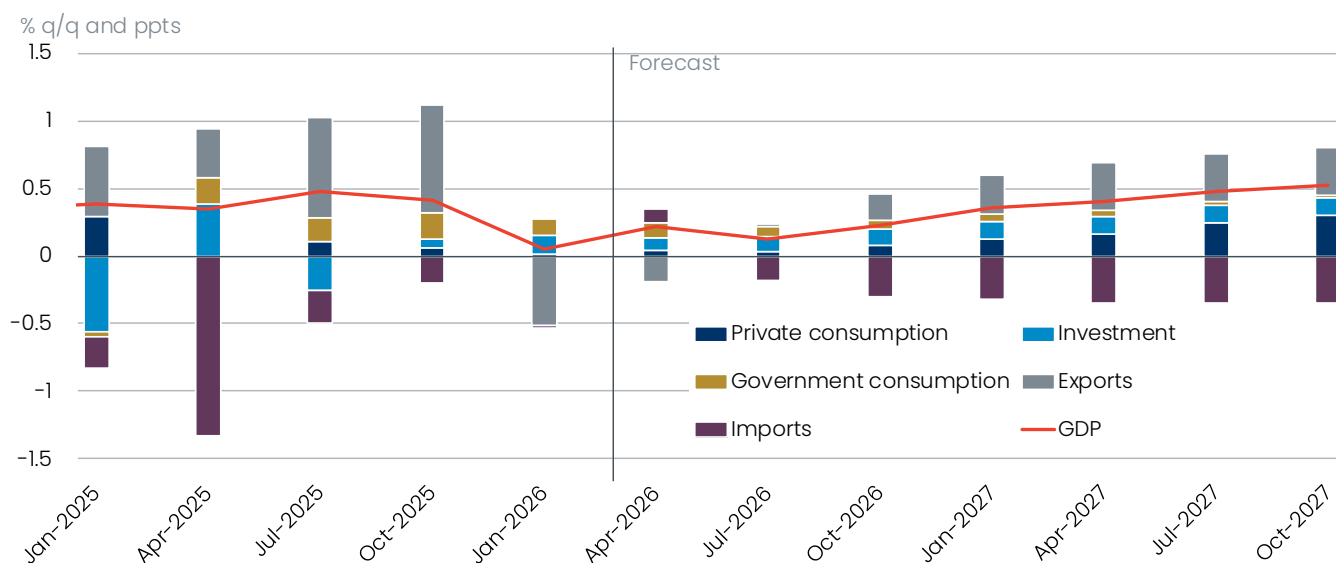
Baseline forecast

Recent developments

The Dutch economy grew by just 0.1% q/q in Q1, slowing from 0.4% in Q4 2025. Domestic demand was healthy, supported by investment and public consumption, whereas household spending was flat. Exports fell, leading to international trade dragging on growth ([Chart 1](#)).

Chart 1: Domestic demand was healthy, but net exports fell

Netherlands: GDP and components



Sources: Oxford Economics, Haver Analytics

Monthly indicators point to growth holding up in the immediate aftermath of the US-Israel war with Iran breaking out. Investment in fixed tangible assets dropped 3.5% y/y in April, after advancing 2.0% in March. Goods exports increased a robust 4.3% y/y in April, up from 3.8% growth in March. Household spending increased by 1.5% y/y in April and 1.0% in March ([Chart 2](#)). Durable goods are in a phase of relative strength but have had to offset weaker food and other goods categories. Overall, services spending is in line with goods spending, which was more resilient during the pandemic but has been flatter since. Retail sales fell 0.2% m/m in April, after rising 1.3% in March, revised up 0.2pts. Retail sales rose 0.3% in Q1 and marginally in Q4, both revised up.

Chart 2: Goods exports are growing at a healthy rate

Netherlands: Consumption, investment, and goods exports



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We forecast the Dutch economy to expand by 1.0% this year and 1.3% in 2027. The war in the Middle East has driven up energy prices in international markets, which will increase inflation and limit consumption. Exports have remained resilient amid higher tariffs, suggesting a healthy outlook for international trade. Trade uncertainty is making businesses reluctant to invest, weighing on non-residential private investment, and we think that this headwind will persist. We expect inflation to average 3.1% in 2026 and 2.4% in 2027.

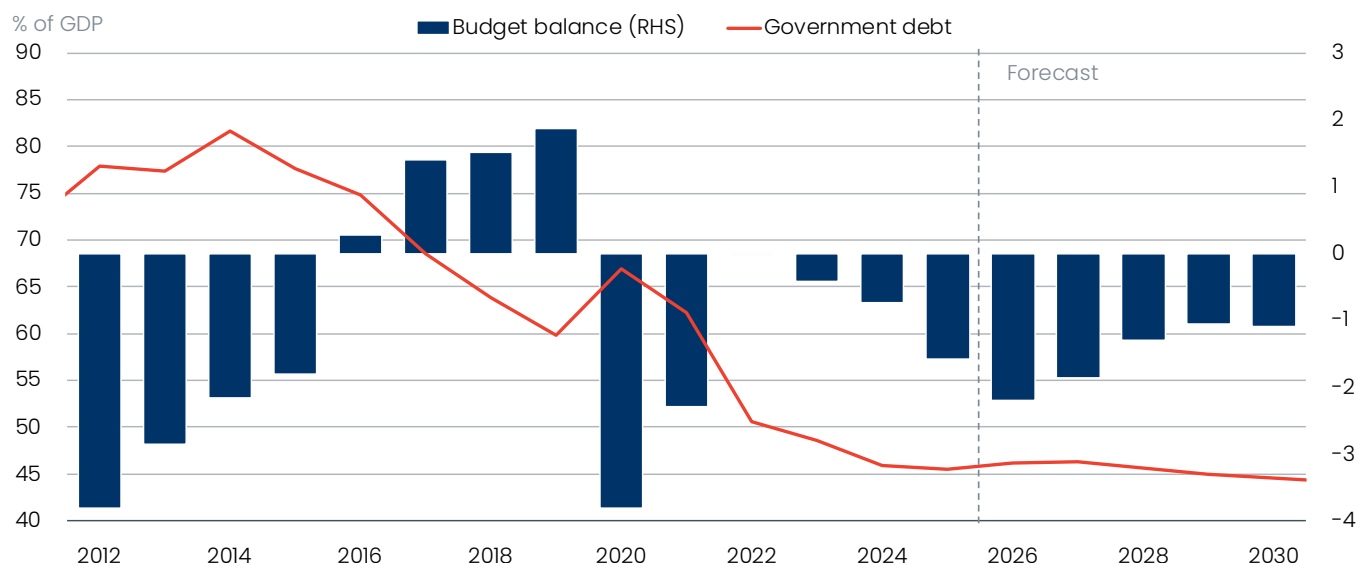
Policy assumptions

Fiscal policy. The government has announced a support package to reduce the impact of higher international energy prices. This means inflation and growth would be slower, but also a negative impact on public finances.

The Netherlands looks well set to achieve its target of increasing core defence spending to 3.5% of GDP. We already estimate that military expenditure is slightly higher than the previous 2% of GDP target, and the government and population are in favour of expanding it. The additional spending will widen the deficit ([Chart 3](#)), and much of the demand will be met through higher imports, leading to a low fiscal multiplier.

Chart 3: Extra spending will widen the deficit

Netherlands: Fiscal position



Sources: Oxford Economics, Haver Analytics

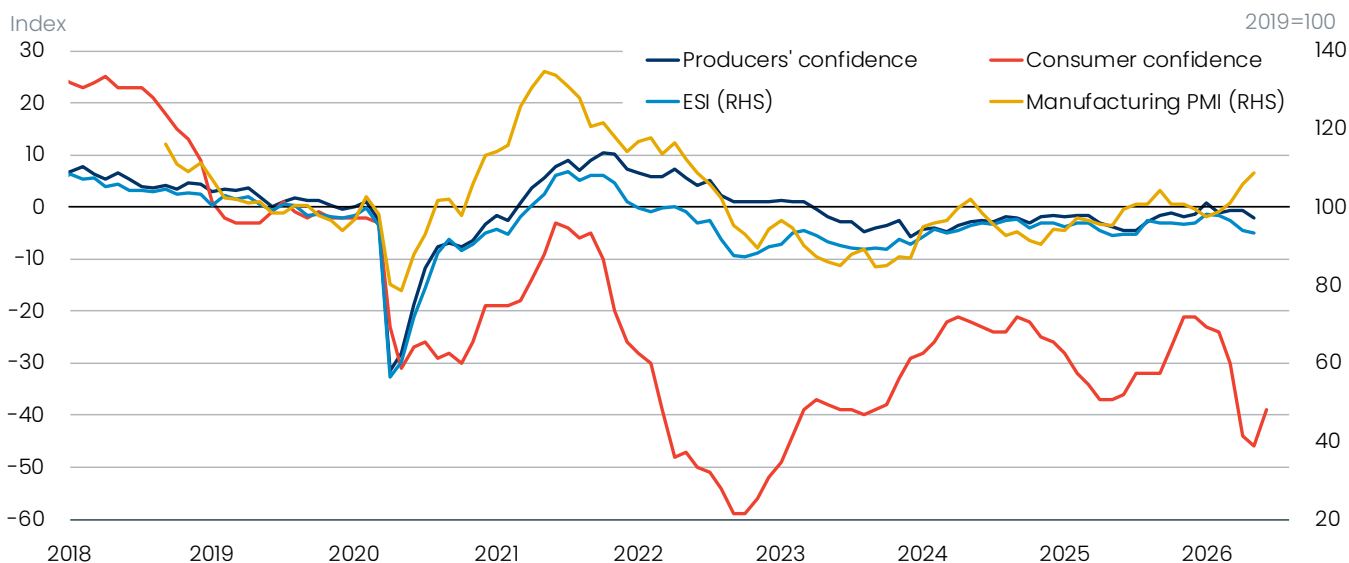
Monetary policy. We expect one 25bps rate hike from the European Central Bank this year to keep inflation expectations anchored amid the rapid rise in energy prices. This reflects a new era of more frequent global supply shocks, which require more robust policy responses. Moreover, the ECB's communication has been hawkish since the inflation surge of 2022, so we do not think it will be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Key drivers of short-term forecast

Sentiment has taken a hit. Consumer confidence plunged in April and May, reacting to the turmoil in the Middle East and saw a slight improvement in June ([Chart 4](#)). The shock has hit all components. Sentiment in industry deteriorated, with a more pessimistic view on future activity countering a more favourable assessment of orders. The May manufacturing PMI instead jumped 1.5pts to 55.9, above the 50-neutral mark. Survey respondents cited input stockpiling and price pressures.

Chart 4: Consumer confidence has plunged

Netherlands: Sentiment indicators



Sources: Oxford Economics, Haver Analytics, S&P Global

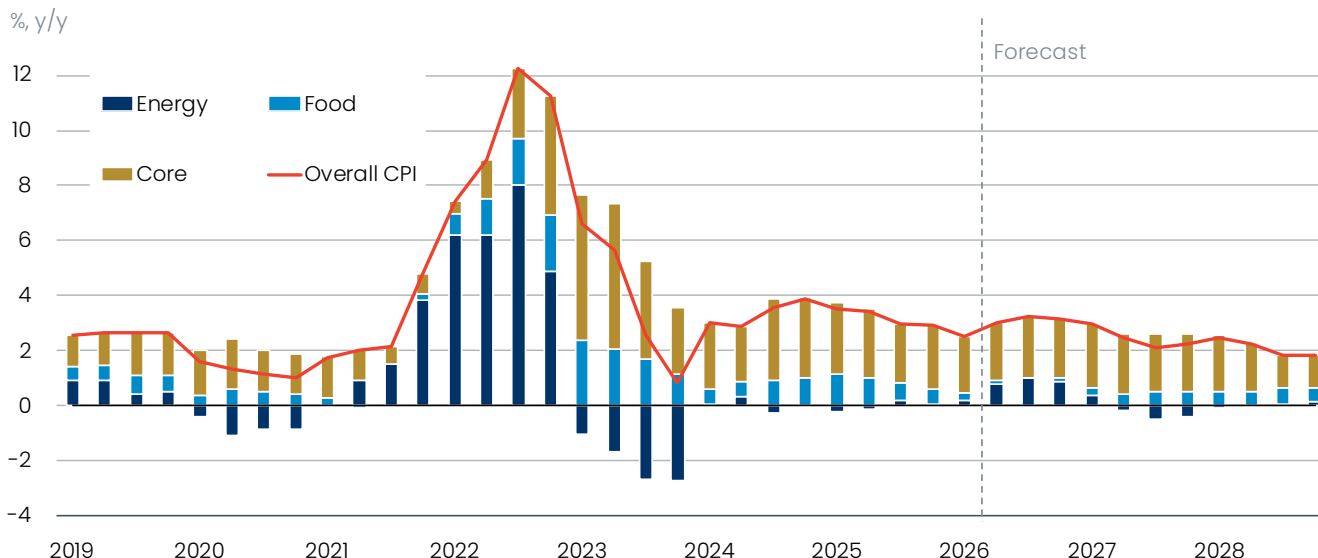
The minority government will continue in power. Given the coalition's need to obtain external support and the parties composing it, we do not expect a material change to [our baseline outlook](#). We continue to expect a gradual return to frugal Dutch fiscal policy. The economy's medium-term prospects should improve versus an alternative scenario of a continuation of the previous government, which was marked by infighting. Despite the strength of populist right-wing parties, scarring from the recent government's collapse should encourage the centre-right parties to collaborate with the centre-left. Fragmentation will remain high, but the country's culture of compromise means the risk of a political stalemate is limited.

Higher energy prices will slow disinflation. Inflation jumped 0.7ppts to 3.5% y/y in April, pushed up by the oil price shock. Not only did the energy component rise, but also the core measure increased by 1ppt to 2.6%, driven by services likely sensitive to energy. Food inflation dropped.

Despite the fast fall, oil prices are more elevated than before the war. The higher cost of energy as a primary input will raise costs and prices ([Chart 5](#)), also in the core and food components. This and second-round effects mean that inflation will be higher and more persistent. Wage growth has cooled but remains high. Although this props up households' purchasing power and spending, it also fuels inflation due to higher costs for firms. Because of its relative labour intensity, this is especially true for services, which have experienced much stickier inflation. Wage growth will keep normalising now that pay rises have compensated for the 2022 price shock and headline inflation has cooled.

Chart 5: Inflation will go up before it goes down

Netherlands: Inflation rate breakdown



Sources: Oxford Economics, Haver Analytics

The industrial recovery has started. Together with a still-struggling European manufacturing sector, Dutch firms' subdued assessment of order books underscores the challenges facing the industrial sector. But improvements in sentiment and increases in output suggest that the recovery has started. The gradual feed-through of easier monetary policy to the economy and recovering real incomes will support demand for capital and consumer goods, which will increase orders of intermediate goods used as production inputs. Timid signs of a bottoming out in German industry will also contribute to a more favourable environment. However, the Middle East war, tariffs, and trade uncertainty will weigh on activity. Industrial output fell 0.4% m/m in April after it rose 1.6% in March (revised up from a 1.2% increase). Production rose in Q1 for a third consecutive quarter.

Uncertainty will hit private investment. The extreme levels of uncertainty will encourage firms to take a wait-and-see approach and delay investment until there is more clarity. The unwinding of tight monetary policy will partially cushion the blow. Stickier underlying components delayed policy easing, but the European Central Bank's Governing Council toned down its hawkish rhetoric, cutting rates in June 2025 for a seventh consecutive meeting. Thereafter, the ECB paused. Rates have risen to fight the inflationary impact of higher energy commodity prices.

What to watch out for

Tight housing market. House prices corrected markedly at the end of 2022 and into H1 2023. However, house price growth has since bounced back, with prices rising by 4.3% y/y in April and May. We anticipate house prices will increase by 3.5% in 2026 due to the persistent undersupply of housing in the market. If the past coalition government's ambitions to boost the construction of new homes to 100,000 per year were to come to fruition, house price growth would be weaker relative to our baseline over the next few years. However, reaching the target looks unlikely in the short run because house completions have never got close to the government's target. Moreover, supply bottlenecks and an already high population density will continue to constrain housing supply. The labour market remains strong and indebtedness ratios, although at sky-high levels compared with those of peers, are on a sustained downward trend, which will support house prices.

Dichotomy in the labour market. The share of employees with a fixed-term contract, flexible working hours, or temporary agency work arrangements increased to 27% in 2019. Although this allows firms to adapt better to demand fluctuations, it also creates a stark duality in the labour market. Well-protected workers on open-ended

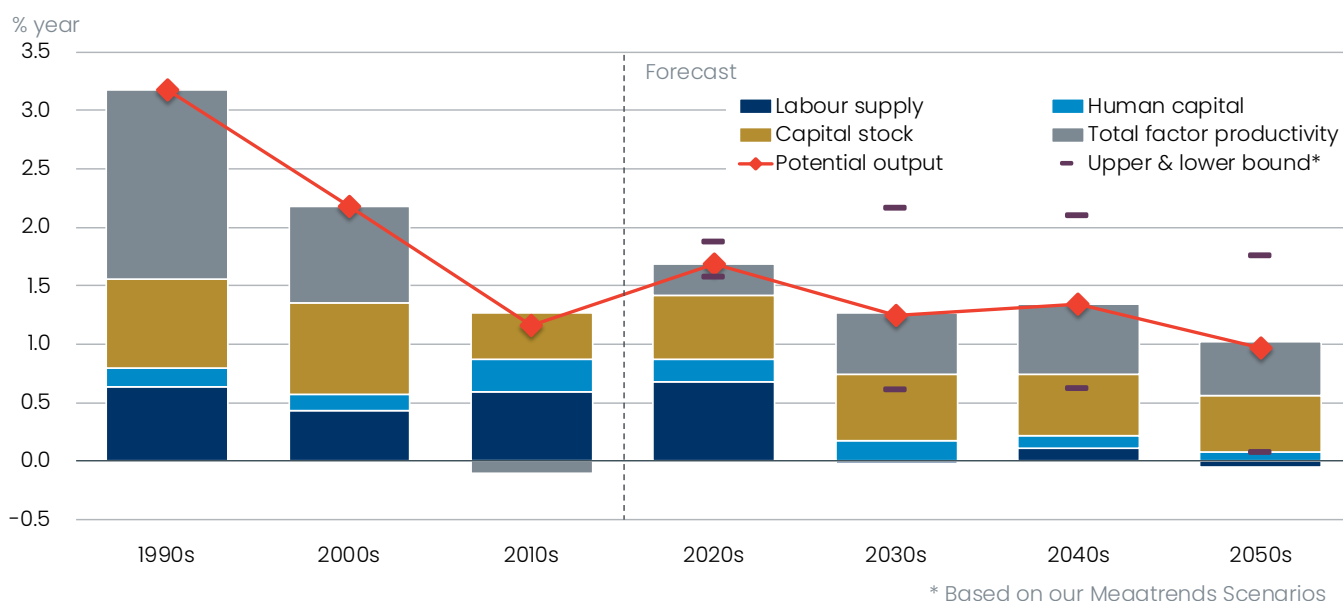
contracts enjoy higher wages than short-term contract hires and freelancers, who also face a greater risk of redundancy. This could prove problematic if the labour market loses steam.

Long-term prospects

In the coming decades, Dutch potential output growth will likely slow considerably and fall into line with what was observed in the 2010s ([Chart 6](#)) – a period that includes the aftermath of the global financial crisis and the Eurozone sovereign debt crisis.

Chart 6: The labour supply will pose challenges for growth

Netherlands: Potential output growth



Sources: Oxford Economics, Haver Analytics

Although healthier investment will sustain capital formation and advancing productivity is likely to continue supporting potential growth, the labour supply will prove a significant drag.

Similar to the rest of Europe, unfavourable demographics will weigh on the Dutch labour force due to low fertility rates and an ageing population structure. A higher retirement age and labour force participation rate could help, but the participation rate has limited room to rise and the outlook remains challenging. Already a highly educated country, there is little upside potential to improving human capital. In this context, assuring robust productivity and capital stock growth will be fundamental to preserving the economy's ability to expand in the longer run.

A global environment less favourable to international trade and the circulation of ideas will stifle innovation and weigh on technological progress. However, there is a moderate upside risk if geopolitical volatility and trade and investment uncertainty lead to more research and development activity in Europe, since the Netherlands is one of the most innovation-focused countries.

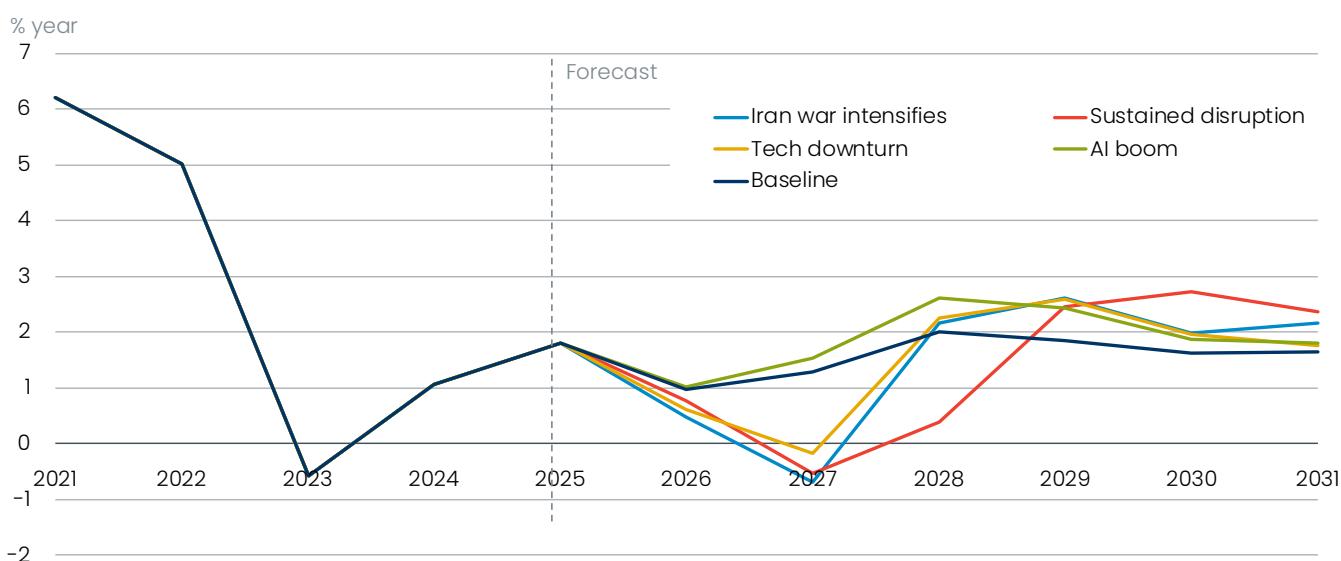
Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered in this scenario by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s. Digital technology investment rises by a further 15% in the first year of the scenario. Stock markets gain at the same time, supported in part by looser Federal Reserve policy than in our baseline forecast. Exporters of tech products and other economies gain from robust US demand. Global growth picks up strongly. Unemployment falls below the baseline, despite some worker displacement from new technologies. Price pressures rise, despite productivity gains as AI is rapidly adopted ([Chart 7](#)).

Chart 7: A tech downturn would push the economy into a contraction

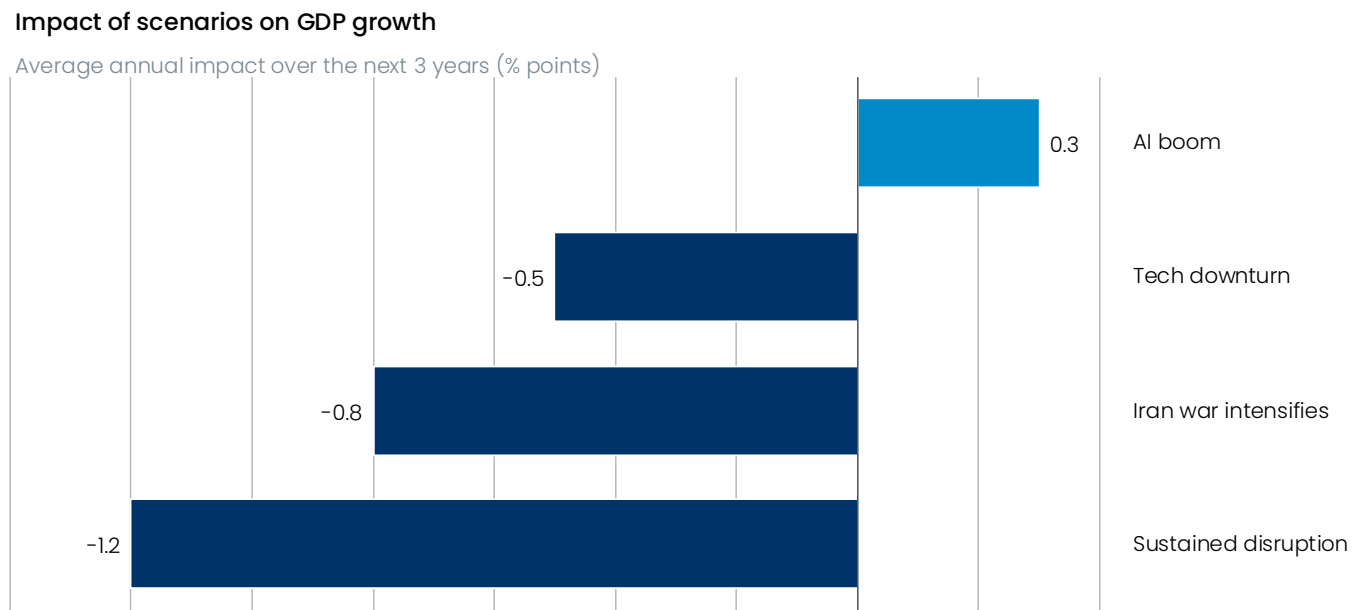
Impact of scenarios on GDP growth



Source: Oxford Economics

Tech downturn. AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. In financial markets, concerns rise over tech sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure comes to an abrupt end. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. Exporters of tech-related products to the US are especially hard hit, but economies around the world suffer amid worsening sentiment and a substantial broad-based depreciation of the US dollar ([Chart 8](#)).

Chart 8: The technology sector creates risks around the baseline



Source: Oxford Economics

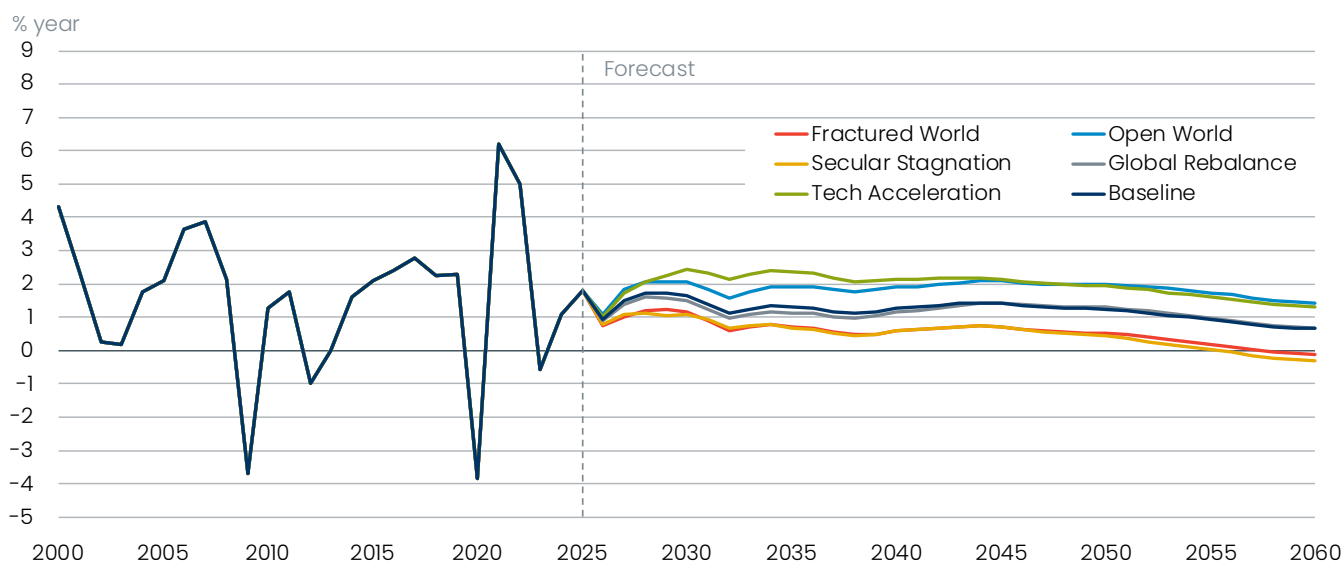
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. Technological advancement, including AI and other technologies, spurs on innovation and boosts productivity growth. Technological advancements such as artificial intelligence (AI) are successfully deployed due to robust R&D, effective regulation and uptake. In the short run, investment rises as firms rapidly deploy capital to fund computing, automation and data infrastructure, to embed new technologies into production. Structural unemployment is contained as policymakers use fiscal dividends to support workers displaced by AI.

Chart 9: A technological revolution would represent a significant upside

Netherlands: GDP growth



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in the baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	2.6	-0.2	4
Market demand	2.0	0.0	2
Market cost	2.0	0.0	4
Exchange rate	3.3	-0.8	46
Sovereign credit	2.8	0.0	10
Trade credit	3.0	0.0	5

Source: Oxford Economics

Overall risk for the Netherlands: 2.6/10*

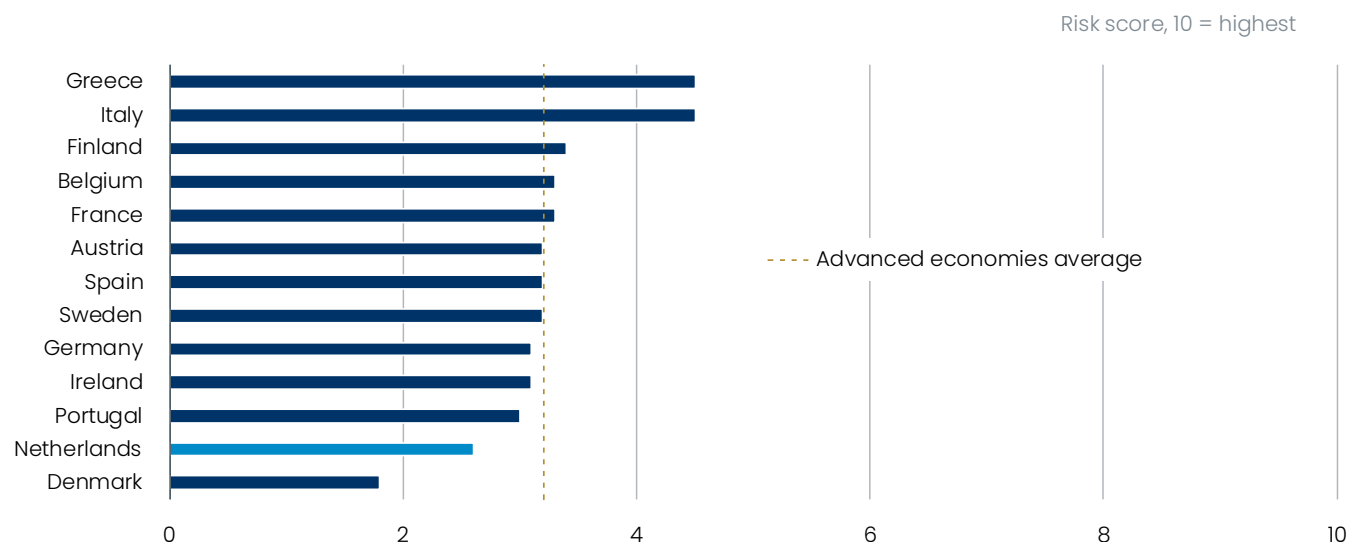
The economic risk score for the Netherlands is low at 2.6 ([Chart 10](#)), below the advanced economies average of 3.2 ([Chart 11](#)) and ranking it fourth out of 164 countries in our survey. The risk score is 0.2pts lower than six months ago.

The Dutch economy weathered the pandemic well due to its robust and tight labour market and government support measures. Inflation had jumped much higher than the Eurozone average due to the economy's

dependence on natural gas, but has fallen fast since. The medium-term outlook is still reasonably strong, as institutional quality remains high and government debt is comparatively low.

Chart 10: The Netherlands has one of the lowest risk scores

Economic risk: Netherlands vs Advanced economies average



Source: Oxford Economics

Market demand: 2.0/10

The market demand risk score of 2.0 is lower than the advanced economies average of 3.4.

Medium-term demand prospects for the Netherlands are quite solid, particularly by international comparison. We think domestic demand will grow by 1.3% this year, supported by consumer prices that are broadly in check and an easing drag on spending from past monetary policy tightening. However, the energy price shock will weaken these tailwinds.

The Netherlands is a very open economy that is exposed to fluctuations in global demand. However, the direct impact of limited US-imposed tariffs is likely to be contained. Only 4.4% of Dutch goods exports are shipped to the US, 60% of which are produced in the country, the rest being re-exports or just transiting through the country's logistics hubs.

Market cost: 2.0/10

The market cost risk score of 2.0 is below the advanced economies average of 2.7.

Cost pressures were rising before the pandemic, which, along with relatively weak productivity growth, pushed up total unit costs. The 2022 energy crisis and supply-chain disruptions caused another spike, but these pressures have eased. Robust wage growth has compensated workers for the real income blow from soaring inflation, and we do not anticipate a wage-price spiral. Moreover, competition, particularly from Eastern Europe, will push firms to try to maintain cost competitiveness. Overall, we think wage growth is unlikely to get out of hand and the inflationary impact from the US-Israel war with Iran will be moderate.

Exchange rate: 3.3/10

The exchange rate risk score is 3.3, the same as that of other Eurozone countries. The risk from exchange rate fluctuations to Dutch exporters is still moderate as most of their trade is intra-European.

The euro depreciated due to geopolitical turmoil sustaining the US dollar but has recovered. Strong past US equity divestment out of the Eurozone should reverse from the current depressed levels thanks to improved growth prospects, sustaining the euro. Foreign-exchange hedging has swung from a headwind to tailwind – moderate increases in hedging by European investors in the US should prop up the single currency.

Meanwhile, some of the forces and potential risks weighing on the euro – such as political paralysis in France and the structural decline of European industry – are unlikely to dissipate anytime soon.

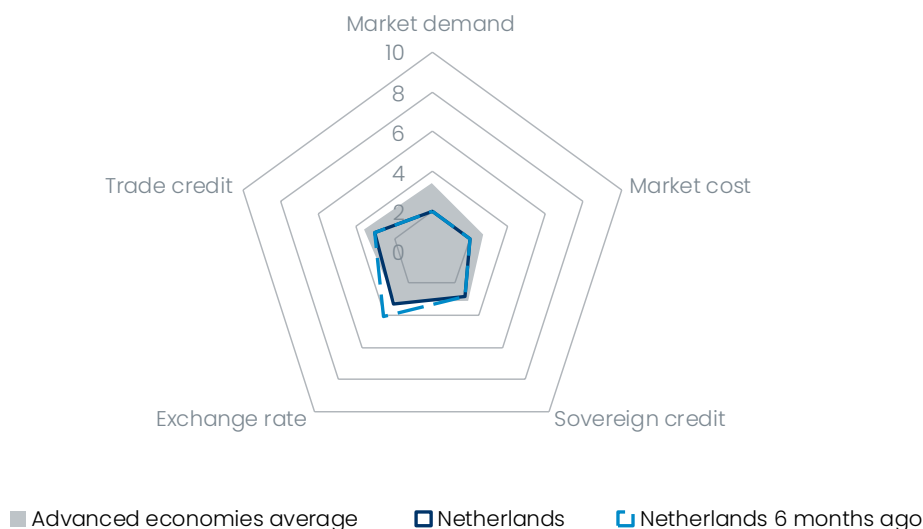
Sovereign credit: 2.8/10

The sovereign credit risk is 2.8, unchanged from six months ago. Compared with other countries, the Netherlands usually sticks to a frugal fiscal path.

Due to the broad-based political commitment to prudent fiscal policy, we expect the Netherlands' debt-to-GDP ratio to return to its downward trajectory. The country retains its AAA rating with all three main rating agencies, but nonperforming loan ratios net of provisions to capital are high compared with those of peers. Moreover, concerns about fiscal sustainability due to an ageing population may grow in the long term.

Chart 11: Risk scores are below or in line with the advanced economies average

Economic risk: Netherlands vs Advanced economies average



Source: Oxford Economics

Trade credit: 3.0/10

The trade credit risk score – a measure of private-sector repayment risk – is low at 3.0. Although businesses' debt remains very high by European standards, their financial situation has steadily improved. Non-financial corporate debt fell from 236% of GDP in 2015 to about 173% in 2025. Insolvencies have fallen substantially from the 2013 peak. Although the number of bankruptcies has risen from the 2022 trough, the level is very low by historical standards.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).